FINANCIAL STATEMENTS

Meridian Capital Group, LLC

Client	Meridian Capital Group, LLC
Fiscal Year End	December 31, 2025
Period	December 31, 2025
Generated	23rd October 2026
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FINANCIAL STATEMENTS

Meridian Capital Group, LLC

Period Ending December 31, 2025

Prepared 23rd October 2026 · Ref: PAC-2026-1023-201

Balance Sheet

ASSETS

Current Assets

Cash and Cash Equivalents (A)	$1,245,000.00
Accounts Receivable (B)	$892,000.00
Inventory (C)	$456,000.00
Prepaid Expenses (D)	$78,000.00
Total Current Assets	**$2,671,000.00**

Non-Current Assets

Property, Plant & Equipment (E)	$3,420,000.00
Accumulated Depreciation (E)	$-1,180,000.00
Intangible Assets (F)	$250,000.00
Total Non-Current Assets	**$2,490,000.00**
TOTAL ASSETS	**$5,161,000.00**

LIABILITIES AND EQUITY

Current Liabilities

Accounts Payable (G)	$634,000.00
Accrued Expenses (H)	$289,000.00
Current Portion of Long-Term Debt (I)	$120,000.00
Total Current Liabilities	**$1,043,000.00**

Non-Current Liabilities

Long-Term Debt (J)	$1,500,000.00
Deferred Tax Liability (K)	$98,000.00
Total Non-Current Liabilities	**$1,598,000.00**
TOTAL LIABILITIES	**$2,641,000.00**

Equity

Common Stock (L)	$500,000.00
Retained Earnings (M)	$2,020,000.00
TOTAL EQUITY	**$2,520,000.00**
TOTAL LIABILITIES AND EQUITY	**$5,161,000.00**

✓ Balanced

Cross-Reference Index

(A) Cash and Cash Equivalents — See Bank Reconciliation Memo

(B) Receivables — See AR Aging Analysis Memo

(C) Inventory — See Inventory Register Analysis Memo

(D) Prepaid Expenses — See Trial Balance Diagnostic

(E) Property, Plant & Equipment — See Fixed Asset Testing Memo

(F) Other Assets & Intangibles — See Trial Balance Diagnostic

(G) AP & Accrued Liabilities — See AP Payment Testing Memo

(H) Other Current Liabilities — See Accrual Completeness Estimator

(I) Long-term Debt — See Trial Balance Diagnostic

(J) Other Long-term Liabilities — See Trial Balance Diagnostic

(K) Stockholders' Equity — See Trial Balance Diagnostic

Income Statement

Revenue (N)	$6,850,000.00
Cost of Goods Sold (O)	$2,890,000.00
GROSS PROFIT	**$3,960,000.00**
Salaries & Wages	$1,420,000.00
Rent Expense	$360,000.00
Depreciation Expense	$285,000.00
Marketing & Advertising	$195,000.00
Insurance Expense	$72,000.00
Office & Supplies	$48,000.00
Utilities	$36,000.00
Professional Fees	$84,000.00
TOTAL OPERATING EXPENSES	**$2,500,000.00**
OPERATING INCOME	**$1,460,000.00**
Interest Expense	$92,000.00
Other Income	$15,000.00
INCOME BEFORE TAX	**$1,383,000.00**

Income Tax Expense	$345,750.00
NET INCOME	**$1,037,250.00**

Cross-Reference Index

(N) Operating Expenses — See Expense Category Analysis

(O) Other Income / (Expense), Net — See Trial Balance Diagnostic

Cash Flow Statement

(Indirect Method)

Cash Flows from Operating Activities

Net Income	$1,037,250.00
Depreciation & Amortization	$285,000.00
Increase in Accounts Receivable	$-142,000.00
Decrease in Inventory	$38,000.00
Increase in Accounts Payable	$67,000.00
Increase in Accrued Expenses	$23,000.00
Net Cash Flows from Operating Activities	**$1,308,250.00**

Cash Flows from Investing Activities

Purchase of Equipment	$-420,000.00
Purchase of Intangible Assets	$-50,000.00
Net Cash Flows from Investing Activities	**$-470,000.00**

Cash Flows from Financing Activities

Repayment of Long-Term Debt	$-120,000.00
Dividends Paid	$-250,000.00
Net Cash Flows from Financing Activities	**$-370,000.00**

NET CHANGE IN CASH	**$468,250.00**

Beginning Cash	$776,750.00
Net Change in Cash	$468,250.00
ENDING CASH	**$1,245,000.00**

✓ Reconciled

❧

Key Financial Ratios

Gross Profit Margin	57.8%
Operating Margin	21.3%
Net Margin	15.1%
EBITDA	$1,745,000.00
EBITDA Margin	25.5%
Debt-to-Equity Ratio	1.05x
Interest Coverage	15.9x
Asset Turnover	1.33x
Current Ratio	2.56x
Quick Ratio	2.05x
Working Capital	$1,628,000.00
Days Sales Outstanding (DSO)	48 days

Quality of Earnings

`Cash Conversion Ratio (OCF / Net Income) ... 1.26x`

The OCF/NI ratio of 1.26x indicates that cash earnings exceed reported net income — strong earnings quality. Operating cash flow ($1,308,250.00) exceeds net income ($1,037,250.00), suggesting conservative accrual practices and reliable cash conversion.

A Cash Conversion Ratio consistently above 1.0x over multiple periods is generally considered a positive indicator of earnings quality. Ratios below 0.8x may indicate aggressive accrual accounting and warrant further analytical procedures.

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Notes to Financial Statements

PLACEHOLDER NOTICE

The following notes are structural placeholders. Paciolus does not generate note content. The engagement team must complete all note disclosures before this document is finalized or distributed.

Note 1 — Basis of Presentation

To be completed by management. Describe the basis of accounting, reporting period, and any significant departures from the applicable financial reporting framework.

Note 2 — Significant Accounting Policies

Revenue Recognition: [Describe policy per ASC 606]

Inventory Valuation: [Describe method — FIFO, LIFO, weighted average]

Depreciation Method: [Describe method and useful life ranges]

Income Taxes: [Describe tax status — LLC pass-through or corporate]

Note 3 — Long-Term Debt

Describe terms, interest rate, maturity date, and collateral for outstanding long-term debt balances and current portions.

Note 4 — Related Party Transactions

Disclose any transactions with related parties during the period, including intercompany receivable/payable balances identified in the trial balance.

Note 5 — Subsequent Events

Disclose any material events occurring after the period end through the date these statements were prepared.

"Particularis de Computis et Scripturis"

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